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Professional Experience

SEP 2023 - *Present* **Postdoctoral Research Fellow**, University of Oxford, Department of Economics
OCTOBER 2023 - *Present* **Academic Consultant**, Bank of England
JULY 2022 - JULY 2023 **Economist**, Bank of England, Monetary Analysis Directorate

Research Interests

Macrofinance, International Economics, Firm Dynamics, Monetary Policy

References

Russell Cooper
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Bank of England
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Education

2017 - 2023 **PhD in Economics**, European University Institute, Florence, Italy
Advisors: Russell Cooper & Árpád Ábrahám
2017 - 2018 **MRes in Economics**, European University Institute, Florence, Italy
2014 - 2017 **PhD studies in Economics - Course work and Qualifiers**, Middle East Technical University, Ankara, Turkey
2012 - 2014 **MSc in Economics and Finance**, Middle East Technical University, Ankara, Turkey
2007 - 2011 **BSc in Electrical and Electronics Engineering** Hacettepe University, Ankara, Turkey

Publications

“Firm Inflation Uncertainty” (with Nick Bloom, Phil Bunn, Paul Mizen, Gregory Thwaites, Ivan Yotzov)
AEA Papers and Proceedings, Volume 113, May 2023 [\[NBER\]](#)

Working Papers

“Debt Contracts, Investment, and Monetary Policy”

This paper studies the role of debt contracts on the transmission of monetary policy to firm-level investment and borrowing. Empirically, using information from detailed loan-level data matched with balance sheet data and stock return data, I document that in response to a contractionary monetary shock, asset-based borrowers –firms with more pledgeable assets– experience sharper contraction in borrowing and investment than cash flow-based borrowers –firms with higher profitability. Despite constituting only 15% of the total investment,

64% percent of total investment *response* to monetary policy shocks are initiated by asset-based borrowers. Quantitatively, I set up a heterogeneous firm New Keynesian model with limited enforceability. The findings suggest that the traditional collateral channel explains this heterogeneous sensitivity as cash flow-based borrowers are less vulnerable to asset price fluctuations. Results indicate that debt contract type affects the strength of financial accelerator mechanism and shapes monetary policy transmission.

“TFPR: Dispersion and Cyclicalities” (with *Russell Cooper*) *R&R* at AEJ: Macro [\[NBER\]](#)

We study the two different measures of total factor productivity: quantity based, TFPQ and revenue based, TFPR. The distribution of TFPR is endogenous, dependent upon exogenous shocks and the endogenous determination of prices. An overlapping generations model with monopolistic competition and state dependent pricing is constructed to study the factors that shape the TFPR distribution. The empirical focus is on three key data patterns: (i) countercyclical dispersion of TFPR, (ii) countercyclical dispersion of price changes and (iii) countercyclical frequency of price adjustment. The analysis uncovers two main results. First, empirical moments of TFPR are only matched in the presence of shocks to the dispersion of TFPQ along with a negatively correlated change in the mean of TFPQ. Second, The real effects of monetary innovations are state dependent, with monetary policy less effective in recessions.

“Financial Frictions, Intangible Investment, and Monetary Policy” (with *Aydan Dogan*)

This paper examines the role of cash flow-based borrowing in financing intangible investments. Typically, R&D expenditures negatively correlate with EBITDA since they are expensed by firms. However, we find that this negative link is significantly weaker for firms with cash flow-based debt contracts. Additionally, we explore how cash flow-based borrowing affects the transmission of monetary policy shocks to intangible investments. Our findings indicate that firms using cash flow-based borrowing are less sensitive to contractionary monetary policy shocks, demonstrating the benefit of this additional funding tool in mitigating adverse effects. This type of borrowing not only promotes increased intangible investment but also reduces its sensitivity to monetary policy changes. These insights shed light on the potential supply-side effects of monetary policy, particularly the heterogeneity in productivity response. The method of financing intangible investment, especially through the interplay between R&D expenditures and financial frictions, has significant implications for productivity and monetary policy.

“Firms’ Sales Expectations and Marginal Propensity to Invest” (with *Andrea Alati, Johannes Fischer, and Maren Froemel*)

How do firms adjust their investment in response to sales shocks and what determines the response? Using a unique firm-level survey, we propose a novel approach to estimate UK firms’ marginal propensity to invest (MPI) out of additional income: the forecast error of their sales growth expectations. Investment responds significantly to these sales surprises, with a 1 percentage point unexpected growth in sales translating into a 0.31 percentage point increase in capital expenditure. We find attentive firms to be more responsive, consistent with sales growth surprises providing firms with information about their demand. Sales growth surprises also cause firms to increase their prices, supporting this interpretation. We do not find evidence that these results are driven by financial frictions, uncertainty, or productivity shocks.

“Sectoral Volatility and the Investment Channel of Monetary Policy” (with *Thomas Walsh*)

We study how the dispersion of firm-level shocks affects the investment channel of monetary policy. Using firm-level panel data, we construct a measure of volatility based on the dispersion of firm-level productivity shocks and interact high-frequency identified monetary policy shocks with volatility. We document a novel fact: monetary policy has dampened real effects via the investment channel when firm-level TFP shock volatility is high. Given that dispersion rises in recessions, these findings offer further evidence as to why monetary policy is weaker in recessions and emphasize the importance of firm heterogeneity in monetary policy transmission.

Work in Progress

“Market Concentration and Monetary Policy Transmission in a Monetary Union” (with *Livia Chitu and Federica Romei*)

“Measuring Financial Constraints: Evidence from the Decision Maker Panel” (with *Nick Bloom, Phil Bunn, Paul Mizen, Greg Thwaites, Ivan Yotzov*)

“High Frequency Firm Responsiveness” (with *Nick Bloom, Phil Bunn, Paul Mizen, Greg Thwaites, Ivan Yotzov*)

“NonLinearities in the Effects of Monetary Policy” (with *Russell Cooper*)

Teaching

GRADUATE	TA , <i>Macroeconomics, Time Series Econometrics</i> at the Middle East Technical University
MBA	TA , <i>Macroeconomics for Business</i> at the Middle East Technical University
UNDERGRADUATE	TA , <i>Introduction to Macroeconomics, Intermediate Macroeconomics I - II, Financial Markets, Introduction to Econometrics I - II</i> at the Middle East Technical University

Previous Work Experience

2012/11 - 2017/08	Research/Teaching Assistant , Middle East Technical University, Department of Economics, Ankara - Turkey
2015/03 - 2017/08	Researcher , Science and Research Council of Turkey, Ankara - Turkey

Grants

2020/08 - 2021/08	PhD Completion Grant , European University Institute, Florence, Italy
2017/09 - 2020/08	PhD Scholarship , Italian Ministry of Foreign Affairs, Florence, Italy
2015/03 - 2017/08	Research Fund #114K957 , Scientific and Technological Research Council, Ankara, Turkey
2012/11 - 2017/08	Research Fund under Government Contract , Council of Higher Education Grant, Ankara, Turkey

Language & Software Skills

LANGUAGES	TURKISH (<i>native</i>), ENGLISH (<i>fluent</i>)
SOFTWARE	MATLAB, STATA, DYNARE, L ^A T _E X, R (basic)